with Americans.

That's two strikes against America. It is no longer a source of cheap oil. And Americans' earnings are not keeping up with the growth in energy prices. And here comes strike three:

NO LONGER A FREE SOCIETY

Here's another reason America may not be such a good beta bet over the next 20 to 50 years. A big advantage that Americans enjoyed in the past was that they were relatively ungoverned. At the time of the American Revolution, the total tax take from the government is estimated at only 3 percent. When, in the Declaration of Independence, Thomas Jefferson writes about the English crown having "sent forth a swarm of agents to harass the people and eat out their substance," he was using a bit of hyperbole. There weren't many government employees. An American, especially one on the frontier, could live his whole life without meeting one.

Compared with the Old World, America had a big advantage. Her people were able to work, to invent, to produce, and to innovate largely free from the dead hand of centralized financial control, regulation, and price fixing. Work and investment produce wealth. Government, generally, redistributes, consumes, and destroys it. This is not to say you can have a society that is all production and no government. But you certainly can't have one that is all government!

"It's either control or money," says a friend of ours. He means that a controlled economy doesn't produce much money. But a free market economy that does produce wealth is "all out of control," which is even more unbearable to many people.

We described in a previous chapter why charitable projects do not increase the world's wealth in any measurable way. Value is determined, imperfectly, by price movements. Without freely moving prices—a market economy—you never know whether you are actually adding value. Most charitable activities are wealth-destroying vanity projects. Like government itself. But at least they're not financed with stolen money!